

TERTIARY EDUCATION TAX

Definition of tertiary education tax

Tertiary education tax is tax imposed by the Tertiary Education Trust Fund Act, 2011 on the assessable profit of all companies registered in Nigeria.

The tax is applicable at the rate of 2% on the assessable profits of a company registered in Nigeria, other than a small company as defined under the Companies Income Tax Act, and it is payable annually.

Objectives and basis of computation of tertiary education tax as provided in the enabling Act

Objectives

Education tax was introduced into the Nigerian tax system through the Education Tax Act, 1993 (ETA 1993) which metamorphosed into Education Tax Act CAP E4 LFN 2004 but is now repealed by the Tertiary Education Fund (Establishment etc.) Act, 2011, to address the funding crisis in the education sector. The Act aims at involving the private sector, being a beneficiary of the products of education to partake in its funding through contribution to the Tertiary Education Trust Fund (TETFund). This has, however, generated a lot of criticism in view of the presence of many taxes in the country which cumulatively erode the profits of companies, hence the general perception of education tax as a disincentive to foreign investment.

The Fund will be specifically used for the provision or maintenance of the following: (a) Essential physical infrastructure for teaching and learning;

(b) Instructional material and equipment;

(c) Research and publication;

(d) Academic staff training and development; and

(e) Any other need which, in the opinion of the Board of Trustees, is critical and essential for the improvement of quality and maintenance of standards in higher educational institutions.

Basis of computation

The rate of tertiary education tax is 2 percent of the assessable profit of a company registered in Nigeria, other than a small company as defined under the Companies Income Tax Act.

The tertiary education tax imposed is due and payable within 60 days after the FIRS has served notice of the assessment on a company.

Imposition, assessment and collection of the tax

Imposition

The Tertiary Education Tax Act 2011, provides for the imposition of the tax. Essentially, Section 1 of the Act provides that as from the commencement of the Act, there shall be charged and payable an annual education tax which shall be assessed, collected and administered in accordance with the provisions of the Act and shall be charged on the assessable profit of a company registered in Nigeria. The Act further provides that the assessable profit shall be

ascertained in a manner specified in the Companies Income Tax Act or the Petroleum Profits Tax Act as the case may be.

Assessment

The Act provides that the FIRS shall assess and collect from each company, tertiary education tax imposed for companies' income tax or petroleum profits tax for an accounting period of the company. The Act further provides that the FIRS shall also proceed to assess a company for the education tax due when assessing the company for companies income tax or petroleum profits tax for the accounting period of the company.

Collection

The Act mandates the FIRS to collect tertiary education tax imposed on companies.

The Act also states that the provision of the Act relating to the collection of companies income tax or petroleum profits tax shall, subject to this Act, apply to the tax due under the Act.

The tax is due and payable within 60 days after the FIRS has served notice of the assessment on a company.

The Act also provides that the FIRS may, for the purpose of assessing and collecting tertiary education tax, devise such forms as it may deem necessary.

However, the FIRS is to pay tertiary education tax collected into the TETfund and shall when doing so, submit to the TETfund, in such form as the Board of Trustees of the

TETfund shall approve, a return showing:

- (a) The name of the company making the payment; (b) The amount collected;
- (c) The assessable profit of the company for the accounting period; and
- (d) Such other information as may be required by the TETfund for the proper administration of the tertiary education tax.

The board of trustees shall before the disbursement of the amount in the fund, set aside in each year, an amount not exceeding five percent of the total monies accruing to the Fund in the preceding year which shall be applied for: (a) The cost of administration and management of the fund.

(b) The maintenance of any property acquired by or vested in the fund and generally to pay for services rendered to the fund;

(c) For project monitoring; and

(d) To meet all the needs of the fund necessary for the due administration and implementation of the purpose of this Act.

Exemption of small companies from paying tertiary education tax

A small company means a company that earns gross turnover of N25,000,000 or less.

In line with the provision of section 34 of the Finance Act, 2020, small companies as defined under section 105(1) of the Companies Income Tax Act 2004 (as amended by section 22 of the Finance Act, 2019), are exempted from paying tertiary education tax.

Management and administration of the Tertiary Education Tax Fund (TETfund)

The Board of Trustees is vested with the management and administration of the fund. The Board of Trustees shall administer the tax imposed by the Act and disburse the amount in the fund to federal and state tertiary educational institutions specifically for the provision or maintenance of – (a) Essential physical infrastructure for teaching and learning;

(b) Instructional material and equipment;

(c) Research and publication;

(d) Academic staff training and development; and

(e) Any other need which, in the opinion of the board of trustees, is critical and essential for the improvement of quality and maintenance of standard in the higher educational institutions.

Composition and functions of the board of trustees

Composition

The Board of Trustees shall consist of: (a) A chairman who shall – (i) Be a person with good knowledge in finance and administrative matters; and

(ii) Have qualifications and experiences as are required to perform the functions of that office under the Act.

(b) Six persons, each representing a geo-political zone in the country;

(c) A representative each of the following Federal Ministries, who shall not be below the rank of a Director

(i) Education; and

(ii) Finance.

(d) A representative from the Universities;

(e) A representative from the Polytechnics;

(f) A representative from the Colleges of Education; and

(g) The executive secretary of TETfund who shall be the Secretary to the Board of Trustees.

This brings the total number of members of Board of the Trustees to thirteen persons.

The membership of the Board of Trustees shall reflect the six-geopolitical zones of the Federation and members shall be persons of considerable experience from both the public and private sectors and appointed by the President on the recommendation of the Education Minister to represent the business, financial and education sectors.

Each member other than the ex-officio members, shall hold office for a term of four years in the first instance and may be eligible for re-appointment for a further term of four years and no more.

The Board shall meet for the conduct of its ordinary meetings four times in a calendar year. Notwithstanding the foregoing, the Board may meet to conduct such other business as exigency demands.

Functions

The following are the functions of the Board of Trustees: (a) Monitor and ensure collection of tertiary education tax by the FIRS and ensure transfer to the fund;

(b) Manage and disburse the tax imposed by the Act;

(c) Liaise with the appropriate ministries or bodies responsible for collection or safekeeping of the tax;

(d) Receive requests and approve admissible projects after due consideration;

(e) Ensure disbursement of funds to various public tertiary educational institutions in Nigeria;

(f) Monitor and evaluate execution of the projects;

(g) Invest funds in appropriate and safe securities;

(h) Update the Federal Government on its activities and progress through annual and audited reports;

(i) Review progress and suggest improvements within the provisions of the Act;

(j) Do such other things as are necessary or incidental to the objects of the fund under the Act or as may be assigned by the Federal Government;

(k) Make and issue guidelines from time to time to all beneficiaries on disbursements from the Fund on the use of monies received from the fund; and

(l) Regulate the administration, application and disbursement of monies from the Fund under the Act.

Illustration The assessable profit of Adobe Limited for assessment year 2011 was ₦ 65 million.

Required; Compute the tertiary education tax due.

Solution The tertiary education tax is 2% of ₦ 65 million, that is, ₦ 1,300,000.

Allocation and distribution of the tax

The total tax collected in a year is disbursed in the ratio 2:1:1 amongst the universities, polytechnics and colleges of education, as shown below: (a) Universities - 50%

(b) Polytechnics - 25%

(c) Colleges of Education - 25%

The Board of Trustees shall have power to give due consideration to the peculiarities of each geo-political zone in the disbursement and management of the tax imposed by this Act between the various levels of tertiary education.

The Minister for Education shall, on the recommendation of the Board of Trustees and subject to approval by the President, make guidelines for the disbursement of funds under the Act.

Offences and penalties

If tertiary education tax is not paid within 60 days, the Federal Inland Revenue Service will serve, on the company, a demand note for the unpaid tax a sum which is equal to 5 per cent of the tax. In addition to such penalty, the tax payable shall carry interest at bank lending rate from the date when the tax becomes payable until it is paid.

If the tax and penalty are not paid within a further period of two months of the demand, the company is guilty of an offence. The FIRS shall with the approval of the board of trustees of TETfund remit in whole or in part a sum added to the unpaid tax. Notice that other officers of such company are severally guilty of that offence of default and liable to be prosecuted against and punished for the offence in like manners as if they themselves committed the offence, unless they prove that the act or omission constituting the offence took place without their knowledge, consent or connivance. The person guilty of the offence shall, on conviction, be liable:

(a) For the first offence, to a fine of up to ₦ 1,000,000 or imprisonment for a term of six months or both; and

(b) For a second and subsequent offence, to a fine of up to ₦ 2,000,000 or imprisonment for a term of twelve months, or both such fine and imprisonment.

The institution of proceedings or imposition of a liability under the Act shall not relieve a company from liability to pay to the FIRS, a tax which is or may become due under the Act.

Section 35 of the Finance Act, 2020, deleted section 10 of Tertiary Education Trust Fund (Establishment, etc) Act, 2011, which relates to offences. The implication of this is that there are no recognised offences in the administration and application of the Act.

In the same vein, section 36 of the Finance Act, 2020, deleted section 11(3) of Tertiary Education Trust Fund (Establishment, etc) Act 2011, which relates to penalties for those who are found guilty of any of the offences under the Act.

It is, however, surprising that section 11(2) of Tertiary Education Trust Fund (Establishment, etc) Act, 2011, is still retained. It states “The institution of proceedings or imposition of a penalty under the Act shall not relieve a company from liability to pay to the Federal Inland Revenue Service a tax which is or may become due under this Act”.

Arising from the above, it is believed that it is only when there are offences that the issue of penalties can arise. Pending further clarification(s) from the Service, the offences as stated in the first three paragraphs are retained.

COMPANY INCOME TAX ASSESSMENT

In a trade or business, the profit or loss of the company is the difference between the income and expenses incurred in generating the income. This can be illustrated using the following proforma:

XYZ Limited Statement of profit or loss For the year ended December 31, 2017

	'000
Revenue	xxx
Cost of sales	(xx)
Gross profit	xxx
Deduct: Overhead expenses	(xx)
Net profit/loss	xx

The net profit as ascertained above is an accounting profit, having been arrived at after taking into consideration, all known principles of accounting, as well as the company's accounting policies.

However, the accounting profit/loss arrived at above, cannot be used for the purpose of computing the tax payable by a company.

The accounting profit has to be converted to tax profit usually referred to as adjusted profit/loss before it is used for the determination of total profit/loss and, consequently, the computation of tax payable.

The process of converting the accounting profit to arrive at the tax profit or adjusted profit involves the application of the provisions of tax laws that allow for the exclusion from tax of some income/profit, that is, exempted income/profit and allowable/ disallowable expenses. Simply put, the conversion is achieved using a pro-forma computation for the purpose of illustration as follows:

XYZ Limited Computation of adjusted profit For the year ended December 31, 2017

	'000
Net profit per accounts	xxx
Deduct: Non-taxable incomes	xx
	xxx
Add: Disallowable expenses	xx
Adjusted profit/(loss)	xxx

Persons chargeable to company's income tax – Section 47

The applicable law governing the taxation of companies (other than companies engaged in petroleum operations) is the Companies Income Tax Act (CITA) CAP C21 LFN 2004 (as amended).

Company's income tax refers to tax payable on the profits of a company accruing in, derived from, brought into or received in Nigeria (Section 9 CITA).

A company shall be chargeable to company's income tax: -

- (a) In its own name; or
- (b) In the name of a principal officer, attorney, factor, agent or representative in Nigeria; or
- (c) In the name of a receiver or a liquidator, that is, where the company is in receivership or liquidation or its attorney, agent or representative in Nigeria.

For the purpose of company's income tax, a "company" is defined in Section 105 of CITA as: "Any company or corporation (other than a corporation sole) established by or under any law in force in Nigeria or elsewhere".

The implication of this is that income tax is payable not only on the worldwide income of a Nigerian company, that is, a company incorporated in Nigeria, but also on the profits of a foreign company, that is, company incorporated under any law in force, in any territory or country outside Nigeria to the extent that such profit, is derived or deemed to be derived, from Nigeria (Section 13 of CITA).

Taxable and non-taxable income

Taxable income

Tax is imposed on the profits of any company accruing in, derived from, brought into or received in Nigeria. The taxable profits are those in respect of the following:

- (a) Any trade or business for whatever period of time such trade or business may have been carried on ;
- (b) Rent or any premium arising from a right granted to any other persons for the use or occupation of any property;
- (c) Dividends, interest, discounts, royalties, charges or annuities;
- (d) Any source of annual profits or gain not falling within the preceding categories. The purpose is to ensure that no taxable profits escape the tax net of the Board; and
- (e) Fees, dues and allowances (wherever paid) for services.

Non-taxable income

The following incomes or profits are exempt from liability to company's income tax:

(a) Interest on a foreign loan granted on or after April 1, 1978, is exempted from tax within the limits prescribed in the Third Schedule to CITA 2004 (as amended).

(b) Interest on any loan granted by a bank on or after January 1, 1997, to a company engaged in: (i) Primary agricultural production; or (ii) Local fabrication of any plant and machinery; or (iii) Providing working capital for any cottage industry established by the company under the Family Economic Advancement Programme (FEAP) provided moratorium is not less than twelve (12) months and interest is not more than base lending rate at the time the loan was granted, refinanced or otherwise restructured.

(c) Interest on a loan granted by a bank on or after April 1, 1980, for the purpose of manufacturing goods for export within the limits provided for in the Third Schedule to CITA (as above), provided a certificate issued by Nigerian Export Promotion Council (NEPC), is presented stating that the level of export specified has been achieved by the company (borrower).

Profits/income exempted from tax

Examples are as follows:

(i) Dividend distributed by a Unit trust;

(ii) Dividends derived by a company from another company incorporated in Nigeria provided the recipient of the dividend: • is the beneficial owner of not less than ten percent of the equity capital of the company paying the dividend; and • Wholly paid for its equity participation in the company paying the dividend, in foreign currency or by asset brought into or imported into Nigeria, between January 1, 1987 and December 31, 1992;

(iii) Profits of a company engaged in petroleum operations, within the meaning of Section 2 of the Petroleum Profits Tax Act CAP P13 LFN 2004, to the extent that such profits are subject to tax under that Act;

Profits of a company engaged in petroleum marketing are liable to companies income tax as their business does not fall within the definition of petroleum operations as contained in Section 2, PPTA;

(iv) Dividend, interest, rent, royalty derived by a company from a country outside Nigeria and brought into Nigeria through government approved channels;

Government approved channel means Central Bank of Nigeria (CBN) or any bank or other body corporate appointed by the minister as authorised dealer under the Second-Tier Foreign Exchange Market Act;

(v) Interests on deposit account of a foreign non-resident company provided the deposits are in respect of foreign currencies transferred into the account on or after January 1, 1990 through government approved channels;

(vi) Profits of a small company in a relevant assessment year provided; □ Such company shall without prejudice to this exemption, comply with the tax registration and tax return filing stipulations of this Act and be subject to the provisions as regards time of filing, penalties for breach of statutory duties and all other provisions of this Act in all respects during the period which its profits are below the tax paying threshold; or

They are dividends received from small companies in the manufacturing sector in the first five years of their operations.

(vii) Dividend received from investments in wholly export oriented business;

(viii) Profits of a Nigerian company in respect of goods exported from Nigeria if the proceeds of such exports are used for the purchase of raw materials, plant, equipment and spare parts; provided that tax shall accrue proportionately on the portion of such proceeds which are not utilised in the manner prescribed.

(ix) Dividend received by a Nigerian company from another Nigerian company after deduction of withholding tax shall be regarded as Franked Investment Income in the hands of the recipient company and shall not be subject to further company's income tax as part of the profits of the recipient company. The concept of franked investment income is that the dividend has been paid out of a profit that has been subjected to corporate tax.

The implication of this is that the Franked Investment Income (FII) is excluded in computing the adjusted profit of the recipient company, since such income is excluded from taxable profit, it is not necessary to gross up the dividend received. It is just appropriate to exclude whatever has earlier been credited, which invariably will be the net dividend received for tax purpose. It should be noted that where the recipient company includes in its own accounts the franked investment income, and re-distributes same as dividend to its own shareholders, and withholding tax is to be accounted for on the gross amount of the dividend, the company may set-off the withholding tax which it has itself suffered on the same income;

(x) Interest earned on bonds issued by the federal, state or local government and their agencies with effect from June 14, 2011;

(xi) Interest earned on bond issued by corporate and supra-nationals;

(xii) Interest earned by holders of bonds and short term securities listed in (ix) and (x) above;

(xiii) The profits of any company being a statutory or registered friendly society, in so far as such profits are not derived from a trade or business carried on by such society;

(xiv) The profits of any company being a co-operative society registered under an enactment or law relating to co-operative societies, not being profits from any trade or business carried on by that company other than co- operative activities solely carried out with its members or from any share or other interest possessed by that company in a trade or business in Nigeria carried on by some other persons or authority;

(xv) The profits of any company formed for the purpose of promoting sporting activities where such profits are wholly expendable for such purpose, subject to such conditions;

(xvi) The profits of any company being a trade union registered under the Trade Unions Act in so far as such profits are not derived from a trade or business carried on by such trade union;

(xvii) The dividend and rental income received by a real estate investment company on behalf of its shareholders provided that; ☐ A minimum of 75% of the dividend and rental income is distributed; and ☐ Such distribution is made within 12 months of the end of the financial year in which the dividend or rental income was earned;

(xviii) The compensating payments, which qualify as dividends under section 9 (1) (c) of this Act, received by a lender from its approved agent or a borrower in a regulated securities lending transaction, such payments are deemed to be franked investment income and shall not be subjected to further tax in the hands of the lender;

(xix) The compensating payments which qualify as dividends or interest under section 9(1)(c) of this Act, received by an approved agent from a borrower or lender on behalf of a lender or borrower in a regulated securities lending transaction; and

(xx) The profits of any company engaged in ecclesiastical, charitable or educational activities of a public character in so far as such profits are not derived from a trade or business carried on by such company.

Section 23 (1)(c) of Companies Income Tax Act Cap C21 LFN 2004 (as amended) states that “there shall be exempt from the tax the profits of any company engaged in ecclesiastical, charitable or educational activities of a public character in so far as such profits are not derived from a trade or business carried on by such company”.

Section 21 of Finance Act, 2020, defines public character with respect to any organisation or institution as “organisation or institution

(a) That is registered in accordance with relevant laws in Nigeria; and (b) Does not distribute or share its profit in any manner to members or promoters”.

Allowable and disallowable expenses

Allowable expenses

Unless otherwise provided, for the purposes of ascertaining the chargeable profit or loss of any company from any source, only expenses incurred wholly, exclusively, necessarily and reasonably in the production of the profits shall be allowable as deductions for tax purposes. Examples of allowable expenses provided for in CITA are:

(a) Subject to the provisions of the seventh schedule to this Act, any sum payable by way of interest on debt borrowed and employed as capital in acquiring the profits of a company;

(b) Rent and premium paid by the company for the period of assessment in respect of land or building, occupied and used for the purpose of generating the profits:

Where a building is occupied by the company’s employees as residential accommodation, the rent or premium paid by the company which is chargeable or allowable in company’s account for income tax purposes, is restricted to 100% of the basic salary of such employees;

(c) Salaries, wages, or other remuneration as well as any benefits-in-kind or allowance granted by the company to senior staff and executives within the limits prescribed by collective

agreement entered into between the company and its employees and as approved by Federal Ministry of Labour, Employment and Productivity;

(d) Repairs and renewal in respect of premises, plant, machinery or fixtures, implements, utensils or articles employed in acquiring the profit;

(e) Bad debts incurred in the course of trade or business proved to have become bad, during the period and specific provision for doubtful debts;

(f) Research and development expenses incurred by the company for the period including levy payable to National Science and Technology Fund;

(g) In the case of the Nigerian Railway Corporation such deductions as are allowed under the provisions of the Authorised Deductions (Nigerian Railway Corporation) Rules, which Rules shall continue in force for all purposes of this Act;

(h) In the case of profits from a trade or business, any expenses or part thereof: ☐ The liability for which was incurred during that period wholly, exclusively, necessarily and reasonably for the purposes of such trade or business and which is not specifically referable to any other period or periods; or

☐ The liability for which was incurred during any previous period wholly, exclusively, necessarily and reasonably for the purpose of such trade or business and which is specifically referable to the period of which the profits are being ascertained; and

☐ The expenses proved to the satisfaction of the Service to have been incurred by the company on research and development for the period including the amount of levy paid by it to the National Science and Technology Fund;

(i) Such other deductions as may be prescribed by the Minister by any rule;

(j) Dividends or mandatory distributions made by a real estate investment company duly approved by the Securities and Exchange Commission, to its shareholders;

(k) Compensating payments, which qualify as interest under section 9(1)(c) of this Act, made by a lender to its approved agent or a borrower in a regulated securities lending transaction;

(l) Allowable donations (Section 25, CITA) In ascertaining the profits or losses of a company chargeable to tax for any period, there shall be deducted, donations made during that period by the company.

The conditions for allowing such donations are as follows:

(i) Donations must be made to any of the funds, bodies, institutions in Nigeria contained in the Fifth schedule to CITA;

(ii) Donations must be made out of profit, that is, donations shall not be allowed in circumstances where it will increase the loss of a company or convert its profit into a loss;

(iii) Donations must not be of a capital nature except donation to a university or other tertiary or research institutions; and

(iv) Donations must not exceed 10% of the company's total profits for an assessment year before any deduction for donation. In the case of donation to tertiary or research institution, up to 15% of total profit or 25% of tax payable in the year whichever is higher.

(v) Donations made by companies in cash or kind to any fund set up by the Federal Government or any state government, or to any agency designated by the Federal Government or to any similar Fund or purpose in consultation with any Ministry, department or agency of the Federal Government, in respect of any pandemic, natural disaster or other exigency shall be allowed as deductions as follows: (i) The cost of in-kind donations made to the Government and any designated agency shall be allowed as deductions; or (ii) Where companies have either procured or manufactured items for contribution, the cost of purchase, manufacture or supply of such in-kind contributions shall be allowed as deductions. Provided that requisite documentation evidencing the donation and the cost thereof are provided to the relevant tax authority and demonstrated to be wholly, reasonably, exclusively and necessarily incurred in relation to the procurement, manufacture or supply of the in-kind contributions.

(vi) The amounts allowable for deduction in respect of (v) above, in any year of assessment shall be limited to 10% of assessable profits after deduction of other allowable donations made by the company.

Allowable deductions - research and development expenditure

In ascertaining the profit or loss of any company for any period from any source chargeable to tax, there shall be deducted the amount of reserve (provision) made out of the profits of that period for research and development.

Such provision shall not exceed ten percent (10%) of total profits of the company for that year before deducting the reserve/provision.

Companies and other organisations engaged in research and development activities for commercialisation shall be allowed 20% investment tax credit on their qualifying expenditure for that purpose.

Waivers or refunds of liability or expenses

In ascertaining the profits or losses of a company for any period chargeable to tax, there shall be included: (a) Any income waived, released or refunded in respect of any liability or expense previously allowed in computing the chargeable profit of a company; and

(b) All sums recovered during a period in respect of bad debts previously written off, or specific provision for doubtful debts previously allowed in computing the chargeable profit of a company in a previous period.

Disallowable expenses section 27 CITA 2004 (as amended)

In the ascertainment of the profit or loss of a company for a period, certain expenses are not allowed.

Examples of such expenses are:

- (a) Capital repaid or withdrawn and any expenditure of a capital nature;
- (b) Sums recoverable under an insurance or contract of indemnity;
- (c) Taxes on income or profits, except tax levied outside Nigeria on profits, which are also chargeable to tax in Nigeria and in respect of which double tax relief is not available;
- (d) Depreciation – In place of depreciation charged in the accounts, and disallowed, capital allowances on qualifying capital expenditure are granted;
- (e) Any expense whatsoever incurred within or outside Nigeria involving related parties as defined under the transfer pricing regulations, except to the extent that it is consistent with the transfer pricing regulations;
- (f) Any expense incurred in deriving tax exempt income, losses of capital nature and any expense allowable as a deduction under the Capital Gains Tax Act for the purpose of determining chargeable gains;
- (g) Any compensating payment made by a borrower, which qualifies as dividends under section 9 (1)(c) of this Act, to its approved agent or to a lender in a Regulated Securities Exchange Commission;
- (h) Any compensating payment made by an approved agent, which qualifies as interest or dividends under section 9 (1)(c) of this Act, to a borrower or lender in a regulated securities exchange transaction;
- (i) Any penalty prescribed by any Act of the National Assembly for violation of any statute; and
- (j) Any tax or penalty borne by a company on behalf of another person.

Expenses incurred in deriving exempt income

Section 27 (1)(h) of CITA (as amended) and as stated above, any expense incurred in deriving tax exempt income, losses of a capital nature and any expense allowable as a deduction under the Capital Gains Tax Act for the purposes of determining chargeable gains are not allowed in the computation of a company's assessable profits. Put differently, where a deductible expense is incurred for the purposes of generating both exempt and non-exempt income, only the portion that relates to the income assessable to tax shall be allowed as a deduction.

Computation of assessable profit

The assessable profit of a company is its adjusted profits or part thereof that is assessed to company's income tax, in an assessment year.

While adjusted profit is computed based on the accounts of a company for whatever period covered by such accounts (normally twelve months), assessable profit is determined and assessed to tax for an assessment year.

Conversely, a company's accounting year, is the period for which it prepares its annual accounts. It is usually a twelve (12) months period, which may begin and end in the same year (for example, January 1 – December 31) or commence in a year and end the following year (for example, July 1 – June 30).

QUESTION

Mr. Danko Chinyere who has worked in a neighbouring African country for many years, returned to Nigeria in August 2018. He incorporated a private limited liability company known as ChiDan Limited located in Lagos on October 30, 2018. The company deals in processing and packaging of plantain chips for local consumption.

The directors of the company opened a business bank account with one of the leading commercial banks in November 2018. The company commenced full operations on January 2, 2019.

An extract of the company's first set of financial statements made up to December 31, 2020 are as follows:

	N'000	N'000
Gross turnover		<u>860,250</u>
Gross profit		307,734
Profit on disposal of plant, property and equipment		<u>7,860</u>
		315,594
Administrative and other expenses:		
Salaries and wages	62,810	
Directors' remuneration	9,000	
Electricity and generator running expenses	4,815	
Rents and rates	36,270	
Repairs and renewal	10,230	
Motor vehicle expenses	32,535	
Donations and subscriptions	9,300	
Interest and bank charges	6,780	
Bad and doubtful debts	8,870	
Miscellaneous expenses	20,770	
Loss of fund	12,800	
Audit fees	8,600	
Legal and professional charges	7,725	
Depreciation	42,825	<u>(273,330)</u>
Net profit		42,264

The following additional information is provided:

(i) Donations and subscriptions include:

	N'000
Lagos Chamber of Commerce	750
Motor Boat Club	300
Polo Club	250
Political parties	7,500
Approved National Relief Fund	<u>500</u>
	9,300

(ii) Bad and doubtful debts consist of :

	N'000
(iii) Allowance for doubtful debts	3,000
(iv) Specific provision	4,245
(v) Bad debts written off	<u>1,625</u>
	8,870

(iii) Miscellaneous expenses include:

	N'000
Court fine	600
Exchange loss on remittances and balances	7,910
Allowable office expenses	<u>12,260</u>
	20,770

(iv) Loss of fund: A director defrauded the company to the tune of N9, 800,000.

(V) Legal and professional charges include:

	N'000
Debt collection and retainership fees	3,975
Land acquisition	<u>3,750</u>
	7,725

(vi) Capital allowances as agreed with the Revenue amounted to N30, 380,000.

Required:

Determine The income tax liabilities payable for the relevant year of assessment